

Research summary

We've conducted 378 customer development interviews ([here is our script](#)) over the last 18 months focused on teams who are shipping software, roughly 90% SaaS. Most of the interviews are from companies ranging between 10-1000 employees. We primarily interviewed designers, product managers, analysts, customer success, marketers and engineers. Overtime we narrowed this down to focus on interviewing growth PMs and data folks (analysts, head of data, data scientists) once we identified the beachhead.

Our goal was to spend as much time listening with open ended interviews and use laddering to better understand the pain points folks experienced on a daily basis that kept them from achieving their goals. We wanted to increase our confidence that we had identified a big enough problem that we could build a business around and minimize the likelihood of failure. Our success measure was to get a half a dozen letters of intent for a solution deck which would be enough for us to go start building.

We learned that the number one pain across multiple roles was the inability to use data to drive growth for the organization, depending on the role this manifested itself in different ways. PMs wanted to make sure that the work that they were shipping was delivering value. Marketers wanted to use data for experimentation, marketing automation, and personalization. Customer success wanted to increase product engagement and understand what accounts are at risk of churn.

When we unpacked why these folks weren't able to use data effectively, we learned a few things but the three main themes we heard were:

- **Data silos & discovery:** data is stored in disparate systems and it's not easy to get a holistic view. This includes data stored in the production database, data warehouses, and third-party SaaS tools. Folk don't know what data they have, how it's being used, and what's the source of truth.
- **Untrustworthy data:** data is often messy, inconsistent, and unreliable and this leads to teams to lose trust in their data, causing them to fall back to their gut or worse make decisions based on bad data — the root cause for this is often preventable human error.

- **Data literacy:** most organizations don't enable their employees to use data effectively. They hire analysts who are often overworked to service the needs of the business. They buy tools but don't understand the total cost of ownership, including training, setup, and measuring adoption.

We decided to double down on product analytics (clickstream, telemetry) for our beachhead after exploring a few alternatives as we thought this was the best founder fit given our backgrounds and how fast could to bring the product to market. This was also largely based on the following market trends that we saw:

1. All companies will be using analytics in the future to understand their customer better and drive business growth.
2. Companies will want to own their data and need to adapt to regulatory constraints (GDPR, CCPA).

We combined our primary research with competitive analysis to identify the three core pillars of an analytics implementation.

1. Definition — what are we tracking, why are we tracking it, and where are we tracking it from
2. Instrumentation — the process to capture the data involving a developer
3. Validation — how do you know that the data that you're capturing is correct

We realized human error was involved in all three stages and that this was primarily a manual workflow for most teams. The best of teams tried to remove error in the definition phase by creating a central event registry to help govern the data, most teams used a spreadsheet. A few companies like Airtasker, Hubspot, ezCater, CircleCI built internal solutions that also involved generating strongly typed SDKs to help remove error in instrumentation. Only a handful validated analytics as part of their automated test suite, while everyone else either did nothing or manually tested new events, but things would break over time.

We broke out the product into a few key phases:

1. **Collaborative workflow** — enable data consumers to collaborate on their analytics schema similar to how developers collaborate on source code.
2. **Developer toolkit** — create a best in class developer experience for instrumenting analytics quickly while removing the most common sources of human error.
3. **Analytics testability** — integrate analytics into your existing unit and e2e tests, treat analytics like any other feature of your product.
4. **Runtime statistics** — get an understanding of how your analytics are functioning in production, while CI and build time validation is great folks want to know that events are still firing in production.
5. **Anomaly detection** — when I ship a release how do I know I haven't broken analytics or that a new feature that I shipped hasn't caused my customer experience to degrade. How might we use analytics as a proxy for teams adopting outcome driven development.

Over the last year we've refined our ICP to B2C companies greater than 100 employees typically the Head of Data/Analytics. Or for smaller companies or B2B it's typically the Head of Product/Growth.

The value props that we're focusing on our:

1. Data quality - capture the right data from the start and avoid things breaking overtime.
2. Speed - avoid the back and forth, save your developers time implementing analytics.
3. Privacy (still validating) - ensure that you're not sending PII to third party tools increasing risk.

Secondary research:

<https://briancifton.com/blog/2018/12/14/analytics-predictions-2019/>

A Lack of Trust in the Data

I consider this the BIGGEST hurdle to what holds leadership back from investing in the above. That is, the data accumulated simply “smells bad”.

<https://brianclifton.com/blog/2015/10/29/do-you-trust-your-analytics-data/>

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<https://medium.com/toro-data-quality/the-three-trends-driving-the-prioritization-of-data-quality-d2b95c8e19a8>

<https://amplitude.com/blog/product-intelligence>

You can have the best charts, analysis, and data exploration tools but without the right data—useful, trustworthy, understandable, and accessible data—you’ll struggle. A well managed taxonomy and lightweight governance are invisible force multipliers.

<https://www.locallyoptimistic.com/post/web-analytics-process/>

<https://phiture.com/mobilegrowthstack/mobile-analytics-part-1-the-step-by-step-guide-62f13ff2ebd3/>

<https://satchel.com/web-analytics/>